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BUS&201

Prof. Brown

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Business Law Final Exam

Question 4 Instructions: Imagine that you are a crooked businessperson. Identify and discuss all of the unethical things you do. Make sure that you explicitly identify all concepts and explain how you violate them. In all instances, make sure to provide full explanations based on what we have covered in class.

I am the CEO of *BBPPP Inc*. (Bad Business Practice Petroleum Products Incorporated), a company specializing in the import and selling of plastic products from overseas to the domestic market. Due to the subpar quality of our products we at *BBPPP Inc.* participate in unethical business practices in order to gain an advantage against international and domestic competitors. In the following pages I will explain the ethical and legal boundaries which we break and the means in which we do.

In the course of operations of *BBPPP Inc.* the management directs an accounting department to manipulate financial statements and misrepresent earnings (a policy comparable to the likes of *Enron*). Doing so violates ***Rule 10b-5*** of the *Securities and Exchange Act of 1934* which prohibits the use of fraud and deceit in corporate transactions and reporting. This action means that I commit securities fraud by providing false information on public disclosures, misleading the shareholders (public) and the SEC (government). This act is not only unethical in

the sense that deceit is involved, but also illegal under the Securities and Exchange Act mentioned above; Not to mention the corporate policy of misrepresenting the financial status of our firm, forcing accountants to break their own ethical guidelines, the GAAP.

I personally am able to use the misrepresented numbers above (although not required). As a Tipper I can share confidential information on the expected movements of the company to close friends and relatives in order for them to act on the private information for financial gain in the markets. I can also act as a Tippee by acting on my knowledge as an insider to open and close market positions without the proper disclosures as an insider of *BBPPP Inc.* Exploiting my access to non-public information for personal gain violates a key pillar of financial ethics and fundamentals, mainly relating to free competition within an open market, this also enables me to go against my fiduciary duty to my company as I can bet against my own company in the market knowing what's behind the curtain of my company.

BBPPP Inc. is **not** an equal opportunity employer, in fact the company goes out of its way to discriminate against employees in their hirings and promotion based on their race, gender, and religion. This violates a myriad of employment discrimination laws and many corporate governance guidelines on fairness and equality. Further disregarding equal employment guidelines, *BBPPP Inc.* can create a hostile work environment forcing employees to perform work under stress and duress. This affinity for discrimination demonstrates that the unethical practices of *BBPPP Inc.* are beyond just a profit scope but from a human ignorance and bigotry.

As the CEO of *BBPPP Inc*. I have a fiduciary duty to act in the best interests of shareholders, however due to my crooked nature I use my standing as an executive to prioritize my personal interests and ignore my fiduciary duty. The negligence is caused by my following actions in self-dealing, conflicts of interest, and Financial Misconduct. Through self-dealing I

embezzle funds and awards contracts from *BBPPP Inc.* to companies which are secretly owned by me or my associates. This way I am able to misappropriate *BBPPP Inc.*'s funds into my own pockets through inflated contracts or invoices, breaching my fiduciary duty to the company. Through my conflicts of interest, I am able to essentially take bribes from competitors and other companies to act in their interests. This inherently goes against my fiduciary duty as I am actively working against the interest of *BBPPP Inc.*'s shareholders. By participating in financial misconduct, I actively commit fraud by falsifying financial reports under the *Sarbanes-Oxley Act* which require executives, like CEOs and CFOs, to certify financial statements. By falsifying these reports, I break my fiduciary duty to shareholders as they use this information to inform their investment decisions, and by certifying false information I am willingly defrauding my own shareholders. By personally committing these acts of fraud I dig myself and *BBPPP Inc.* into deeper delinquency by neglecting my fiduciary duty.

-Unethical labor practices

In order to maximize production of our subpar plastic products, *BBPPP Inc.* participates in unethical labor practices and corporate responsibility principles. By employing workers in developing countries, we can force long hours in unsafe conditions upon them, for lower wages than domestic employees with "pesky" labor protections. By also ignoring environmental guidelines set forth by the government we can ignore the hassle of disposing of dangerous and toxic waste by releasing it into the environment. Using the unethical product, we use deceptive marketing and advertising to mislead consumers about the quality and utility of our products. These practices violate corporate social responsibility principles, which should emphasize a company's ethical responsibility towards employees, consumers, and the environment. We at *BBPPP Inc.*, however, go out of our way to act against that interest.

We further misled investors by manipulating our IPO documents hiding the true value and standing of our company, breaking the *Securities Act of 1933*. We did this by inflating our corporate valuation, hiding potential legal issues (which our company is heavily involved in), and omitting major liabilities. This is all information that we were required to disclose but chose not to in order to increase our profit margins, this breaks our fiduciary duties to our shareholders and is a prime example of unethical behavior from the root.

By participating in fraud, discrimination, insider trading, and labor exploitation, I & *BBPPP Inc.* violate both legal statutes and ethical business principles. These actions demonstrate a failure to adhere to professional ethics, corporate governance, and social responsibility.